

Tesla, Inc.
TSLA NASDAQ

Hold \$377.21 ▼ 0.45% 12M Price Target \$395.00 52-Week Range \$297.82 – \$498.83 Market Cap \$1.42T

TSLA: Earnings Tonight — EV Tax Credit Death Hangs Over Print

WHAT HAPPENED

- TSLA prints Q2 earnings TONIGHT after the close — stock is basically flat on the day but on ultra-light volume (6.3M shares vs. 30M+ the past week), which means everyone is sitting on their hands waiting for the number. That's classic pre-earnings paralysis.
- The 24/7 Wall St headline about the "catastrophic collapse of America's EV industry" is the mood music — federal EV tax credits (\$7,500 per vehicle) officially phased out under the current administration, and that's a direct hit to Tesla's US demand story going into this print.

WHY IT MATTERS

Here's the setup: TSLA is down from \$391 to \$377 over a week (about 3.5%) heading into earnings, which tells me the market is nervous but not panicking. The bigger picture is that Tesla is in the middle of a narrative transition — from "EV company losing subsidies" to "AI/Robotaxi/Optimus company" — and tonight's call is where Elon needs to sell that pivot HARD. If he delivers concrete Robotaxi expansion numbers (Austin has been live, watch for city count and ride volume), the stock rips because that's the only thing that justifies a \$1.4T market cap. If he just talks vibes and vision without numbers, the auto weakness gets punished. Options flow is leaning bullish (put/call ratio 0.67, meaning way more call bets than put bets) with big call buying right at-the-money — someone with money is betting on a pop.

POLICY & POLITICAL WATCH

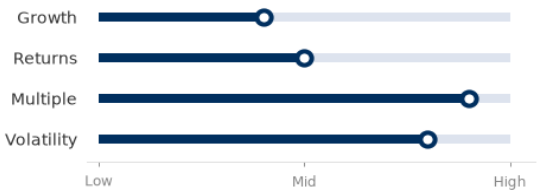
The elephant in the room: the federal \$7,500 EV tax credit expired under the Trump administration's tax bill, and CAFE fuel economy penalties (which generated billions in regulatory credit sales to other automakers) have been effectively zeroed out — that regulatory credit revenue was nearly pure profit for Tesla and it's evaporating. On the flip side, the administration's push for federal AV (autonomous vehicle) framework legislation could be a MASSIVE tailwind if it preempts the state-by-state patchwork Tesla currently has to navigate for Robotaxi — watch for any mention of NHTSA rulemaking on the call. Also keep an eye on China tariffs and rare earth export restrictions; Tesla's Shanghai gigafactory is exposed both ways.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$377.21
12M Price Target	\$395.00
Upside / (Downside)	+4.7%
Market Cap	\$1.42T
FY2026E Revenue	\$102M
FY2027E Revenue	\$118M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	204.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$430.00	\$385.00	\$340.00
6 Months	\$480.00	\$395.00	\$310.00
1 Year	\$550.00	\$395.00	\$275.00
2 Years	\$700.00	\$450.00	\$240.00
5 Years	\$1000.00	\$550.00	\$200.00
10 Years	\$1800.00	\$700.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+1.81%) and Energy (+1.69%) — this is the "AI needs power" trade continuing, plus energy getting a boost from the administration's fossil fuel friendly policies. Materials also strong on infrastructure and tariff-driven reshoring.

COOLING OFF: Tech is taking a breather today per Barron's — the AI trade needs fresh fuel and Alphabet/Tesla earnings tonight are that fuel. Consumer Discretionary (Tesla's home sector) has been soft on EV demand worries.

ROTATION WATCH: Money is rotating from mega-cap tech into value/cyclicals and utilities. That's a headwind for TSLA specifically because it's a momentum name that needs the AI narrative to stay hot.

RELATED PLAY: If Tesla's Robotaxi commentary is strong tonight, watch the AV supply chain — LiDAR names (even though Tesla doesn't use it, competitors do), MobilEye, and NVIDIA all move on AV sentiment. Also utilities that power EV charging infrastructure.

WHO'S WINNING IN THIS SPACE?

- RIVN (Rivian): Motley Fool piece today framing it as a long-term winner — surviving the EV shakeout while smaller players die means market share consolidation.
- GOOGL (Alphabet): Also reporting tonight — Waymo is the direct Robotaxi comp and it's actually operating at scale in multiple cities right now, which puts pressure on Tesla to prove it can catch up.

TSLA CONTEXT: TSLA is lagging its own AI-adjacent peer group (NVDA, GOOGL) over the past month because the market is still valuing it partially as an auto company. Tonight is the chance to change that — if Elon reframes the story successfully, the stock re-rates higher. If not, it stays stuck in EV-company purgatory.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$340-360 on post-earnings weakness

Time Horizon: 12-24 months

Thesis Invalidation: Robotaxi rollout stalls or auto gross margins fall below 15%

Hedging: Long put spreads into earnings; pair with a legacy auto short